

Employing in Kenya

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Employment Act
- **Monthly payroll** — salary payments in KES, itemised payslips
- **Tax withholding** — progressive PAYE income tax withheld and remitted via iTax
- **NSSF, SHIF & Housing Levy** — the full statutory contribution stack, recently overhauled
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

Kenya's statutory contribution landscape has changed substantially in the past two years — NHIF was replaced by SHIF in October 2024, NSSF moved to a tiered structure with rates rising further from February 2026 ("NSSF Phase 4"), and the Affordable Housing Levy was introduced in 2023 (and upheld by the High Court).

Item	Detail	Legal Basis
Probation period	Maximum 6 months (extendable by agreement to 12 months)	Employment Act
Housing allowance requirement	15% additional allowance required if housing is not provided directly	Employment Act
Standard hours	8 hrs/day, 45 hrs/week (typical)	Employment Act

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	Set by sector/city (general labourer, urban), reviewed periodically	Regulation of Wages Order
NSSF (employer, from Feb 2026)	6% of pensionable pay, up to KES 108,000	Max employer contribution KES 6,480/month ("NSSF Phase 4"); matched by an equal employee share
SHIF (employer)	2.75% of gross salary (minimum KES 300/month)	Replaced NHIF in October 2024; no upper cap, employee-side only (no separate employer SHIF charge beyond remitting the deduction)
Affordable Housing Levy (employer)	1.5% of gross salary	Matched by an equal 1.5% employee contribution (3% combined)

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	21 working days/year	Employer	Employment Act minimum
Sick Leave	7 days full pay + 7 days half pay per year (after 2 months' service)	Employer	Requires a medical certificate
Maternity Leave	3 months, full pay	Employer	Job-protected
Paternity Leave	2 weeks, full pay	Employer	Within the period around the birth

★ HERO TIP

Kenya's statutory deduction stack has been reshaped twice in under two years — NHIF→SHIF (Oct 2024) and NSSF Tier limits rising again from February 2026 — so any payroll assumptions carried over from 2023/2024 are likely outdated. Confirm current NSSF, SHIF and Housing Levy rates with your HeroForce EOR before quoting Kenya employment costs, since further NSSF phase changes are scheduled through the coming years.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
NSSF employer (capped at KES 108,000 pensionable pay, illustrative)	\$52.00	1.73%
Affordable Housing Levy, employer (1.5%)	\$45.00	1.50%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,697.00	~123.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. NSSF is capped at KES 108,000 pensionable pay, so its USD-equivalent share shrinks for higher salaries. Employee deductions (withheld separately) include NSSF (6%, capped), SHIF (2.75%, no cap), Housing Levy (1.5%) and progressive PAYE with a KES 2,400/month personal relief.

Termination & Separation

Notice periods under the Employment Act scale with the pay period (commonly 28 days for monthly-paid employees). Severance for redundancy is a minimum of 15 days' pay per completed year of service, on top of any accrued leave and notice pay.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	National
6 April	Easter Monday	National
1 May	Labour Day	National
1 June	Madaraka Day	National
~ March/April	Eid al-Fitr	National (Islamic calendar)
10 October	Huduma Day (Moi Day)	National
20 October	Mashujaa Day	National
12 December	Jamhuri Day	National
25–26 December	Christmas Day and Boxing Day	National

Ready to hire in Kenya?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Kenya employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).